

to supply too much liquidity and thereby further undermine the dollar's value.

Technically, the crash of 1987 bears an uncanny resemblance to the crash of 1929. The principal difference is that in 1929 the first selling climax was followed in a few days by a second one that carried the market to a lower low. In 1987 the second climax was avoided; and even if the market were to reach new lows in the future, the pattern would be different.

The crash of 1987 came just as unexpectedly as the crash of 1929. The worldwide stock boom was seen generally as unsound and unsustainable, but few people correctly predicted the sudden turn of events. I was as badly caught as the next person. I was convinced that the crash would start in Japan. That turned out to be an expensive mistake.

The most compelling similarity between the crash of 1929 and the crash of 1987—one not sufficiently appreciated by policymakers and the public—is that both incidents revealed a historic ongoing transfer of financial and economic power in the world economy. In 1929 the United States was superseding Great Britain as the world's predominant economic force. In 1987 the power was flowing from the United States to the Asian economic superpower, Japan. The crash of 1987 will be remembered as a signal event in that process as well as a harbinger of change in the international financial order because it offered dramatic evidence of the growing inadequacy of a global financial system based on an unstable and depreciating reserve currency, the U.S. dollar.

In retrospect, it is easy to reconstruct the sequence of events that led to the crash. The stock boom was fed by a growing supply of dollars; a reduction in liquidity then established the preconditions for a crash. In this respect, too, 1987 resembles 1929: It will be recalled that the 1929 crash was preceded by a rise in interest rates on short-term borrowing for stock transactions.

Exactly how the reduction in liquidity came about in 1987 is a thornier question. A definitive answer will have to await